Defer or redesign. Do not launch on these gates.

Conditional teaching recommendation

The growth case fails operating uplift and ending cash. Quality and peak timing remain unknown.

1.1 lakh

Ending cash

vs proposed floor 2

Compare no-bet, launch, redesign/stage and defer.

No-bet is a counterfactual, not proof that a real company is safe.

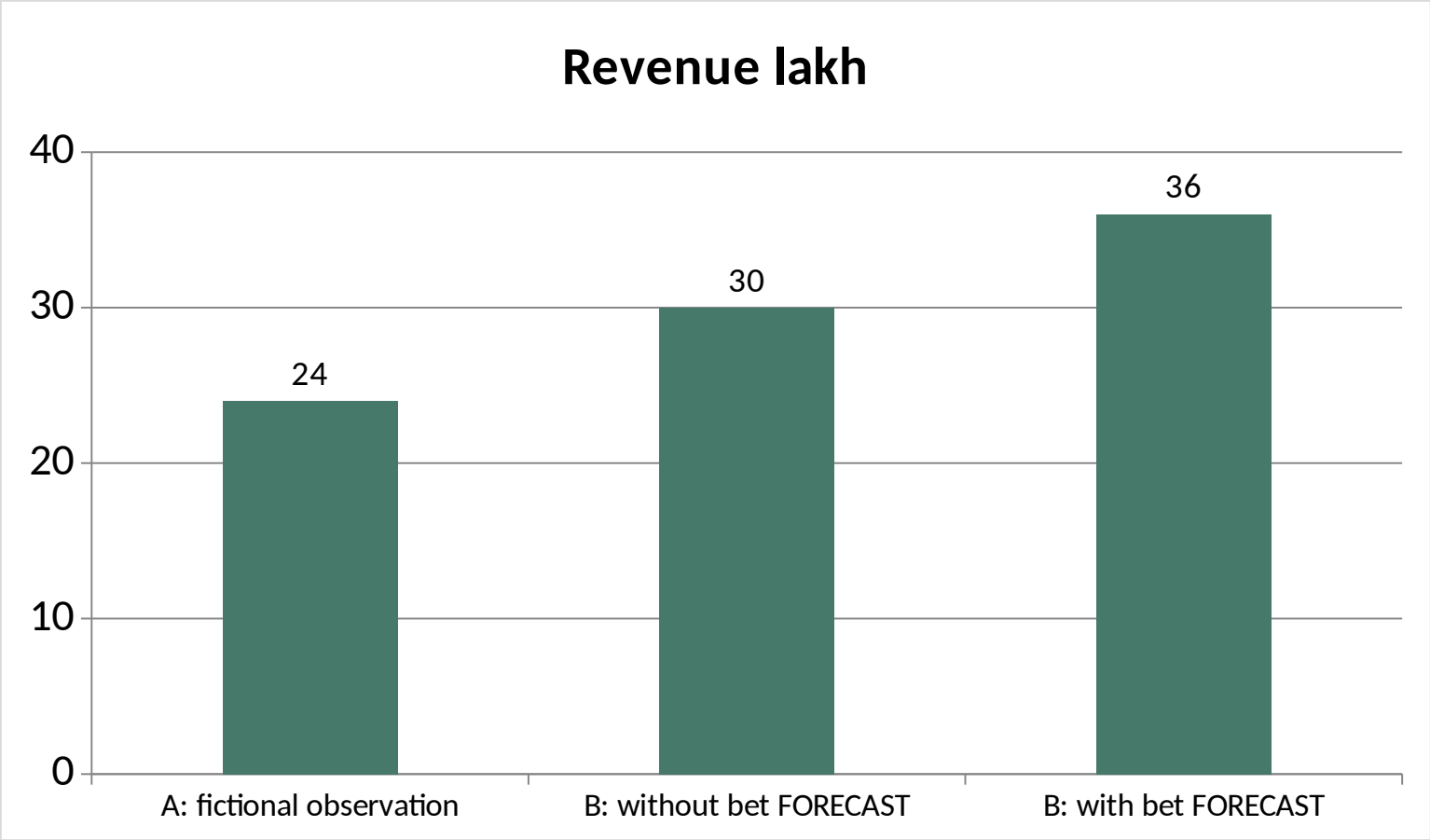
This private example is not a board resolution or capital release.

Four alternatives, with the same window and units.

Alternative	What the model can say	What remains needed
No new bet	Revenue 30; operating 4; cash +1	Real demand, obligations, rights still unverified
Launch full bet	Revenue 36; operating 4.4; cash -8.9	Fails supplied gates, not cleared by higher sales
Redesign / stage	Valid alternative, no numeric redesign supplied	Fresh price/volume/cost/collections/quality model
Defer	Retains option pending evidence	Explicit review conditions, not hidden supplier delay

Zero opening AR/inventory/payables; all stated operating costs paid; no tax/interest/depreciation/financing.

A before/after change is not a measured causal effect.



24 -> 36 = 12 before/after modeled change.

B 36 - B 30 = 6 modeled increment.

Neither is measured causal proof.

Compare B with bet against B without bet.

Twelve-month B / lakh	Without bet	With bet TOTAL	Increment
Revenue	30	36	6
Variable	18	21.6	3.6
Avoidable fixed	8	10	2
Operating	4	4.4	0.4
Collections	27	25.2	-1.8
Capex	0	2.5	2.5

Total growth sales 36 are only 6 incremental sales. Same B comparison is conditional, not measured attribution.

Only 6 of the modeled 12 change is incremental to B.

Step / revenue lakh	Value	Status
A revenue	24	Fictional observation within case
A-to-B no-bet change	+6	Forecast baseline trend, not caused by bet
B modeled bet increment	+6	Conditional same B difference
B with-bet revenue	36	Forecast TOTAL, not actual

24+6+6=36 reconciles the story.

A clear pyramid headline does not turn assumptions into causal evidence.

Six more sales leave only 0.4 more operating.

Incremental bridge / lakh	Change
Revenue	+6
Variable costs	-3.6
Avoidable fixed costs	-2
Operating before dep/interest/tax	+0.4

0.4 misses proposed operating-increment target 2.

Growth operating 4.4 is a total, not 4.4 new earnings or cash.

Higher revenue and lower collections expand receivables.

B / lakh	Without bet	Growth TOTAL	Increment
Revenue	30	36	6
Collections	27	25.2	-1.8
Closing receivables	3	10.8	7.8

Zero opening receivables: AR =revenue-collections.

7.8 incremental receivables absorb cash, not create sales a second time.

No aging, bad-debt or settlement dates are supplied.

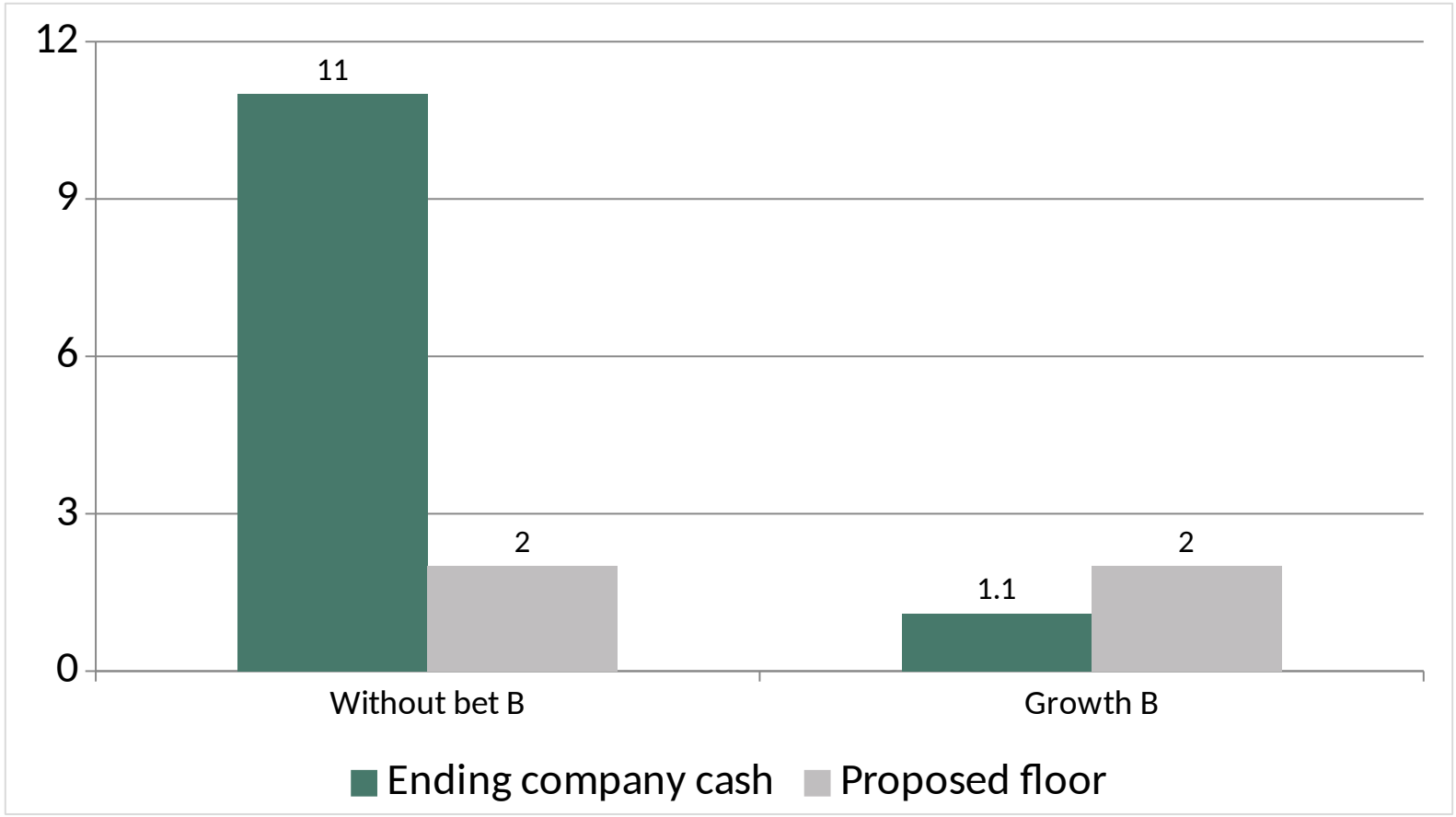
Incremental cash falls 9.9 despite positive operating.

Incremental B / lakh	Value
Operating increment	0.4
Less extra receivables	7.8
Less extra capex	2.5
Incremental cash movement	-9.9

0.4-7.8-2.5=-9.9.

Growth cash movement -8.9 minus no-bet cash movement 1 also = -9.9.

Growth ends below the floor. Exact peak remains unknown.



Opening 10

Growth end 1.1

Floor 2

Endpoint gap 0.9

Exact minimum and peak funding UNKNOWN.

Quality is unknown. Do not fill it with a story.

Required test	Supplied evidence	Decision
Eligible-delivery denominator	UNKNOWN	No quality estimate
On-time/delivered numerator	UNKNOWN	No 0% or 100% substitution
Proposed 95% target	Case preference only	Not a verified operational/legal standard
Capacity/rework/measurement design	UNKNOWN	Need evidence before unconditional pass

A prettier deck, larger revenue or endpoint cash does not waive quality or permissions.

Upside clears two endpoint screens, not every gate.

B growth / lakh	Downside	Base	Upside
Revenue	30	36	42
Operating TOTAL	2	4.4	6.8
Operating increment vs 4	-2	0.4	2.8
Receivables	9	10.8	8.4
Cash movement	-9.5	-8.9	-4.1
Ending company cash	0.5	1.1	5.9

No scenario probabilities. Upside still has unknown dated minimum, quality, rights and actual funding.

Revenue 40 is a threshold, not a funded sales plan.

0.40 x revenue - 10 = operating 6.

Operating 6 - baseline 4 = increment 2.

Therefore revenue 40 meets only this operating target.

What must remain true

Variable cost stays 60% of sales.

Contribution stays 40%.

Fixed cost 10 and same model basis.

What does not follow

Demand, collection dates, quality, peak funding, rights or investment approval.

The strongest objection belongs beside the recommendation.

Authored objection

Revenue rises 24 to 36, operating 4.4 is positive and upside ends 5.9. Why wait?

Correction

Before/after 12 is not increment 6. Base increment 0.4 and ending cash 1.1 fail. Upside leaves quality and peak unknown.

Revised headline: "Conditional growth may add sales, but do not launch before coherent funding, quality evidence and actual authority."

No actual participant quote or revised learner view invented.

Fictional reviewers own evidence, not capital release.

Fictional role	Day 0	Day 30 / dependency	Day 60 / 90 stop-review
Demand/source	Freeze claims/status	Match A/B windows, verify evidence	Defer if unsupported demand
Cost/economics	Reconcile .4 increment	Cost/capacity tests require sources	New model for redesign
Cash	Record absent peak dates	Full dates depend on collections/payments	Stop unfunded floor breach
Quality	Define eligible units	Actual measurement evidence needed	No pass if unknown/<95%
Rights/decision	Record no real authority	Verify rights before real action	No sharing/spend without approval

Keep the evidence gaps and the original decision trail.

Deliverable: 15 editable practice slides with input/claim metadata in notes.

Recommendation remains defer/redesign until the missing case is supported.

No actual board distribution, funding, learner review or independent signoff.

Claim / evidence IDs	Status / condition
C01-C15 / S1 original D85	All monetary inputs synthetic; A fictional-observed/B forecast
S2-S6 original method framing	Analyst Academy, Sequoia, Wharton, MIT; not proof of case inputs
U1 quality / U2 dated peak / U3 rights	UNKNOWN. Actual sources, dates and permission still needed
Changed recommendation / delayed practice	Not observed; learner records only when actually performed